ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 08 - DEFINING THE DAILY RANGE

ICT Monthly Mentorship

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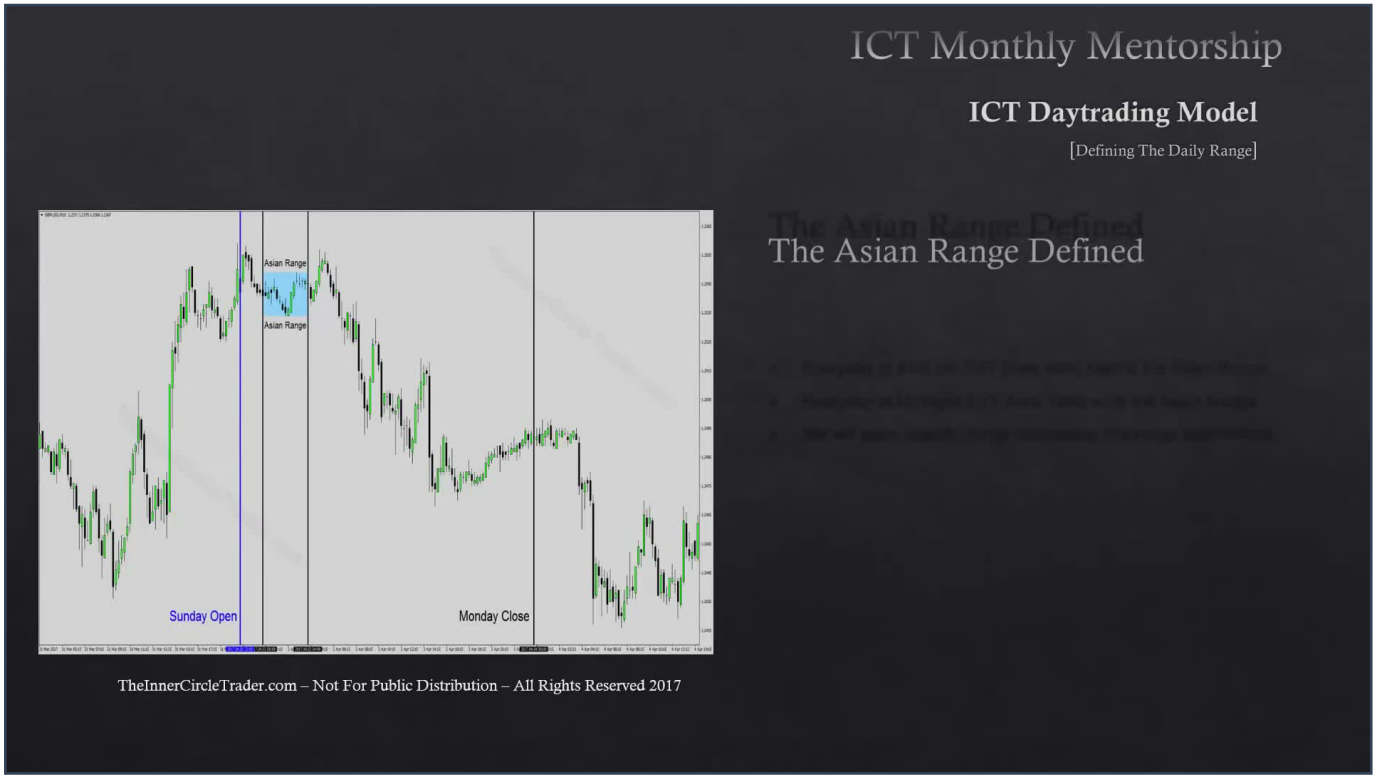
Welcome to Lesson Two of the April 2017 ICT Mentorship content, focusing on the ICT Day Trading Model. This lesson is dedicated to defining the daily range.

The retail 24-hour trading day, as seen on MT4 platforms with period separators (Control+Y), is not what we focus on. We highlight the contrast between the typical MT4 platform view and the interbank 24-hour IPTA trading day, which is very different.

For high-probability trade scenarios, we must use the same reference point for time that the IPTA (Interbank Price Delivery Algorithm) uses. When retail delineations are used, it suggests a lack of understanding of the true interbank framing of the day. This lesson will show how an interbank trader views price in relative terms to time.

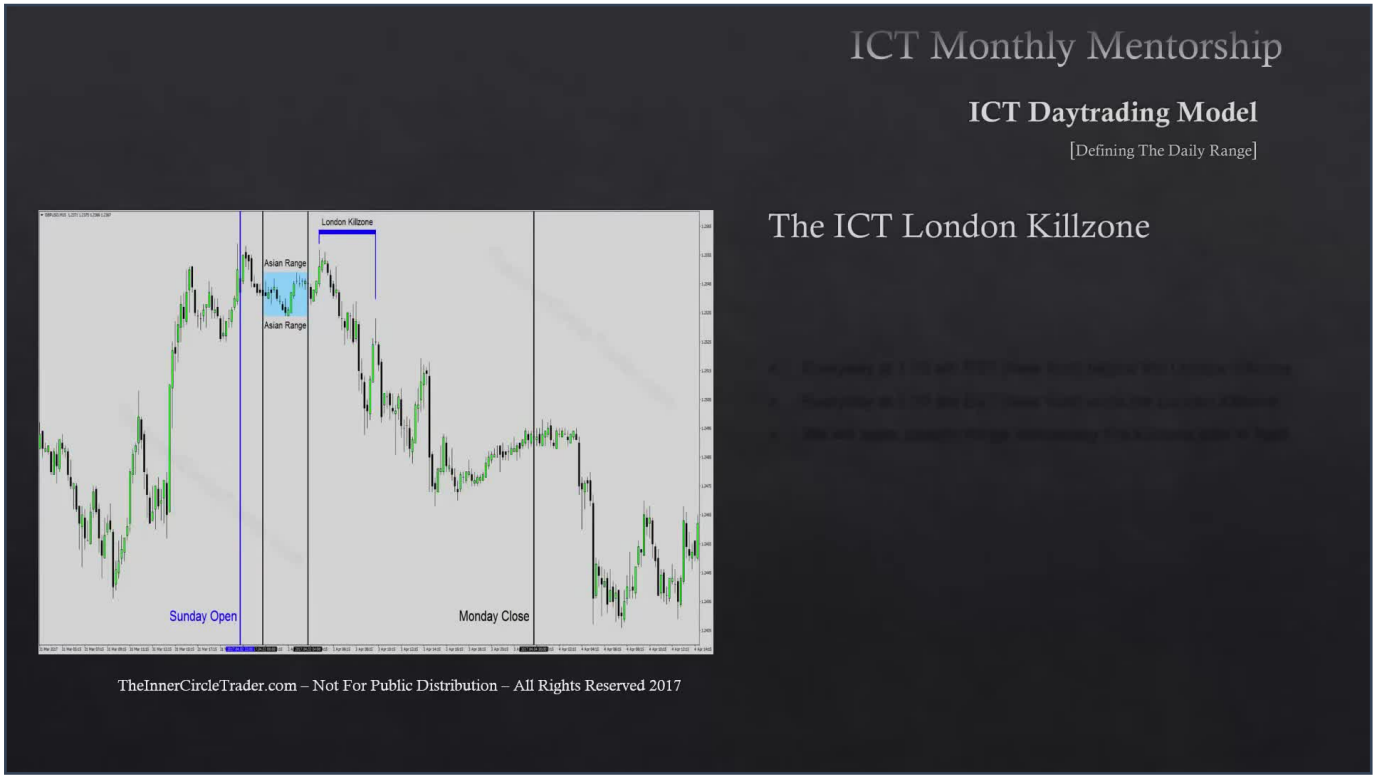


The first element to break down is the Asian Range. This is the definitive teaching for the beginning and end times, to be referred to throughout the April day trading lessons. If you have seen anything different in the past, this is the real one.

- Every day at PM Eastern Standard Time in New York time, this begins the Asian Range.

- Every day at Midnight Eastern Standard Time (New York), this ends the Asian Range.

Specific insights into this range will be covered later in April. For now, focus on these definitive beginning and ending times for the IPTA trading day.

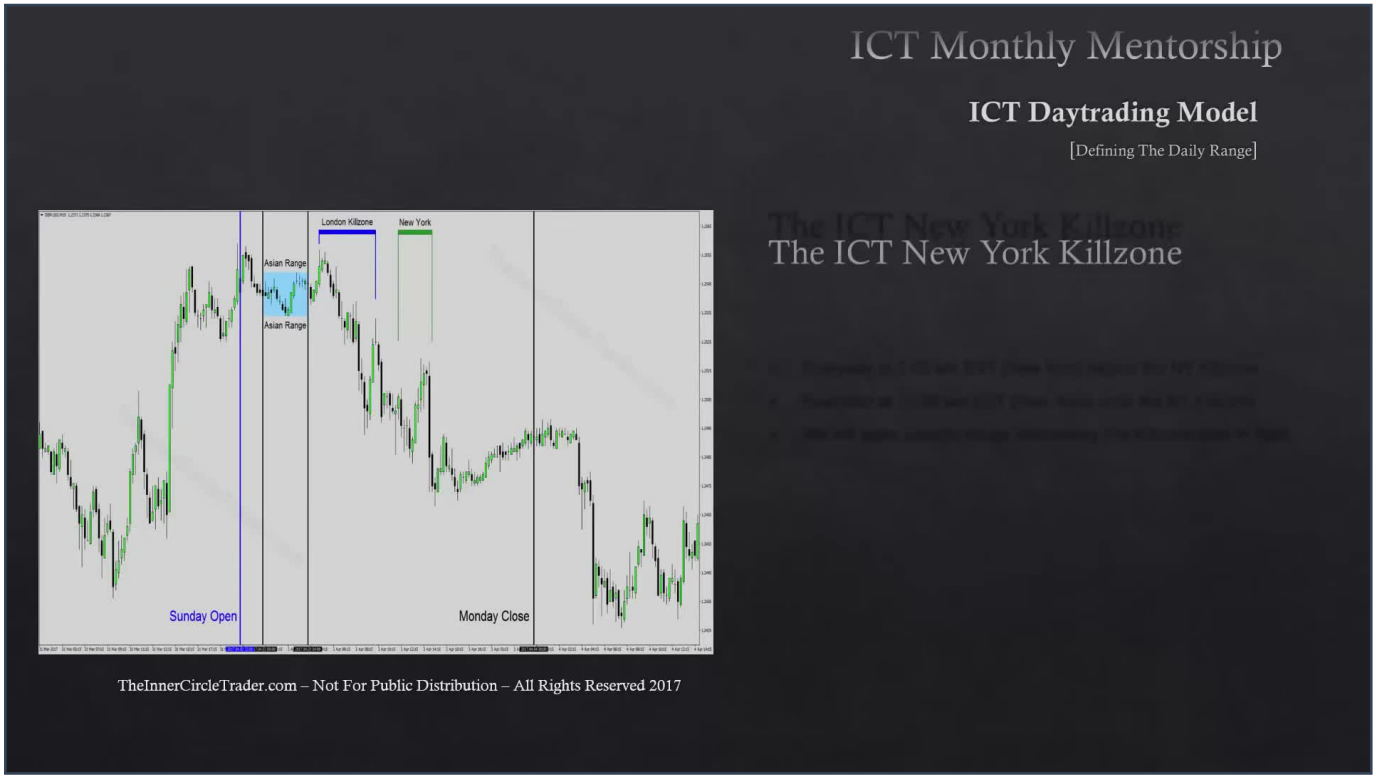


This section defines the ICT London Kill Zone:

- Every day at 1:00 AM Eastern Standard Time (New York), this begins the London Kill Zone.

- Every day at 5:00 AM Eastern Standard Time (New York), this ends the London Kill Zone.

Specific details about this Kill Zone will be taught later in April. For now, it is crucial to use a New York time clock (e.g., world clock on a smartphone) to accurately set these beginning and ending points for all time references.

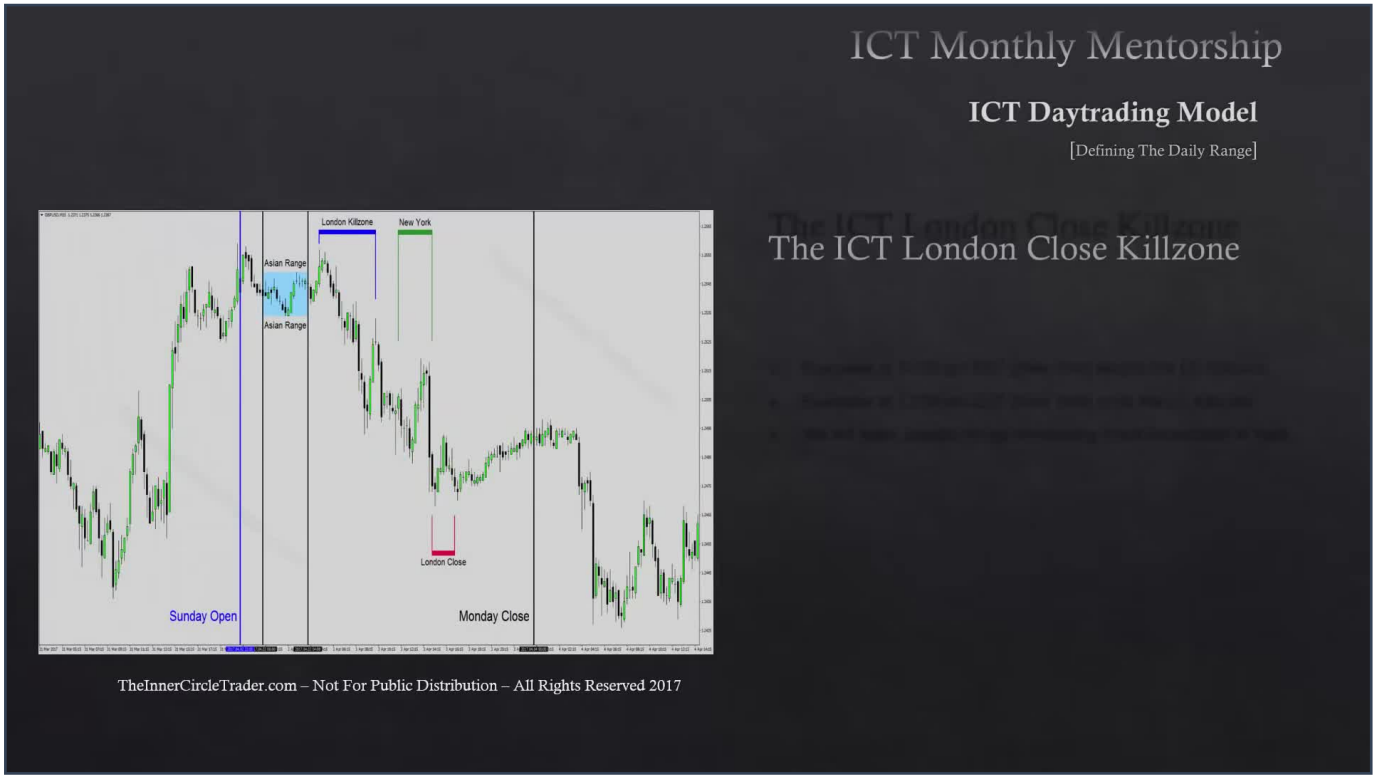


This section defines the ICT New York Kill Zone:

- Every day at 7:00 AM Eastern Standard Time (New York), this begins the New York Kill Zone.

- Every day at 10:00 AM Eastern Standard Time (New York), this ends the New York Kill Zone.

Specific insights into this Kill Zone will be provided later in April. These are the actual times used to hunt for setups.

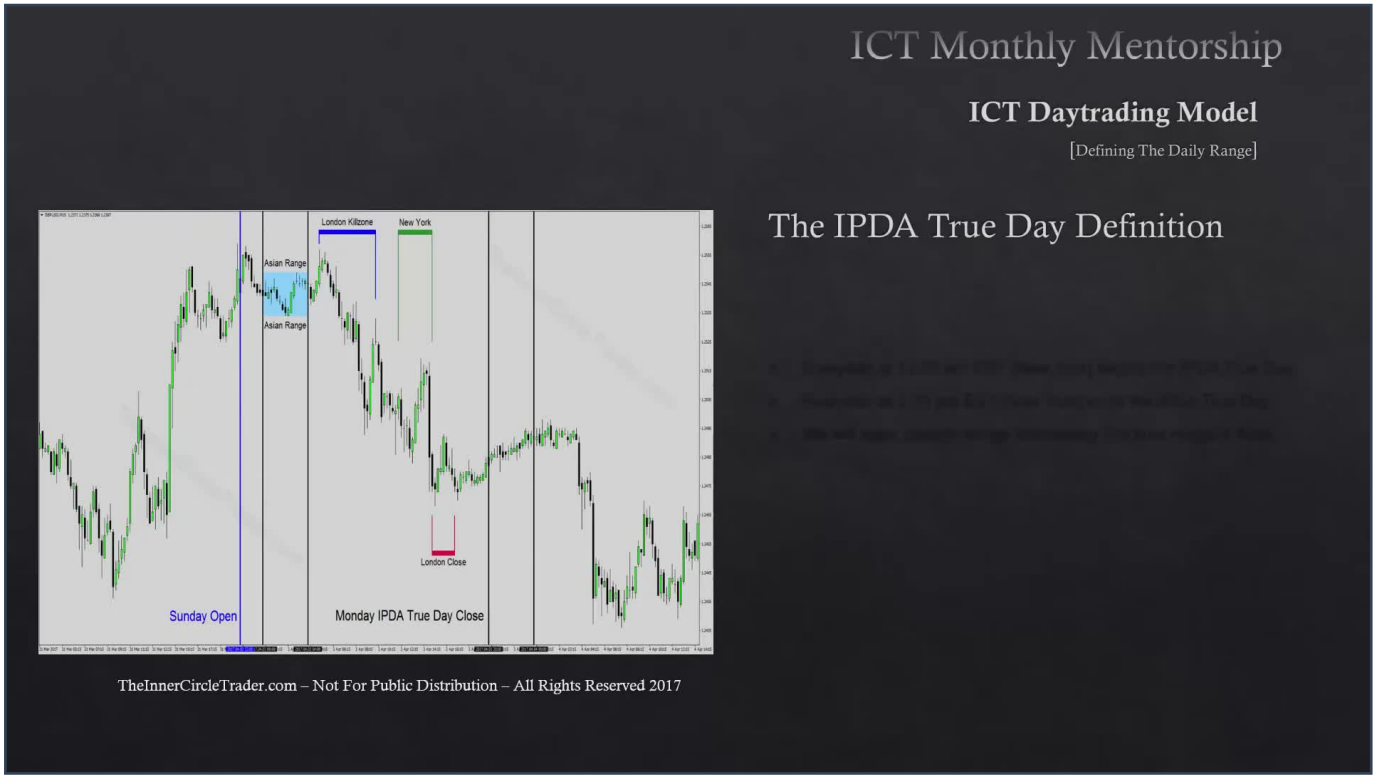


This section defines the ICT London Close Kill Zone:

- Every day at 10:00 AM Eastern Standard Time (New York), this begins the London Close Kill Zone.

- Every day at 12:00 PM (noon) New York time, this ends the London Close Kill Zone.

Specific details about this Kill Zone will be learned later in April. This is the precise time window referred to as London Close, regardless of whether it's daylight savings time or regular time. These are the times ICT uses.

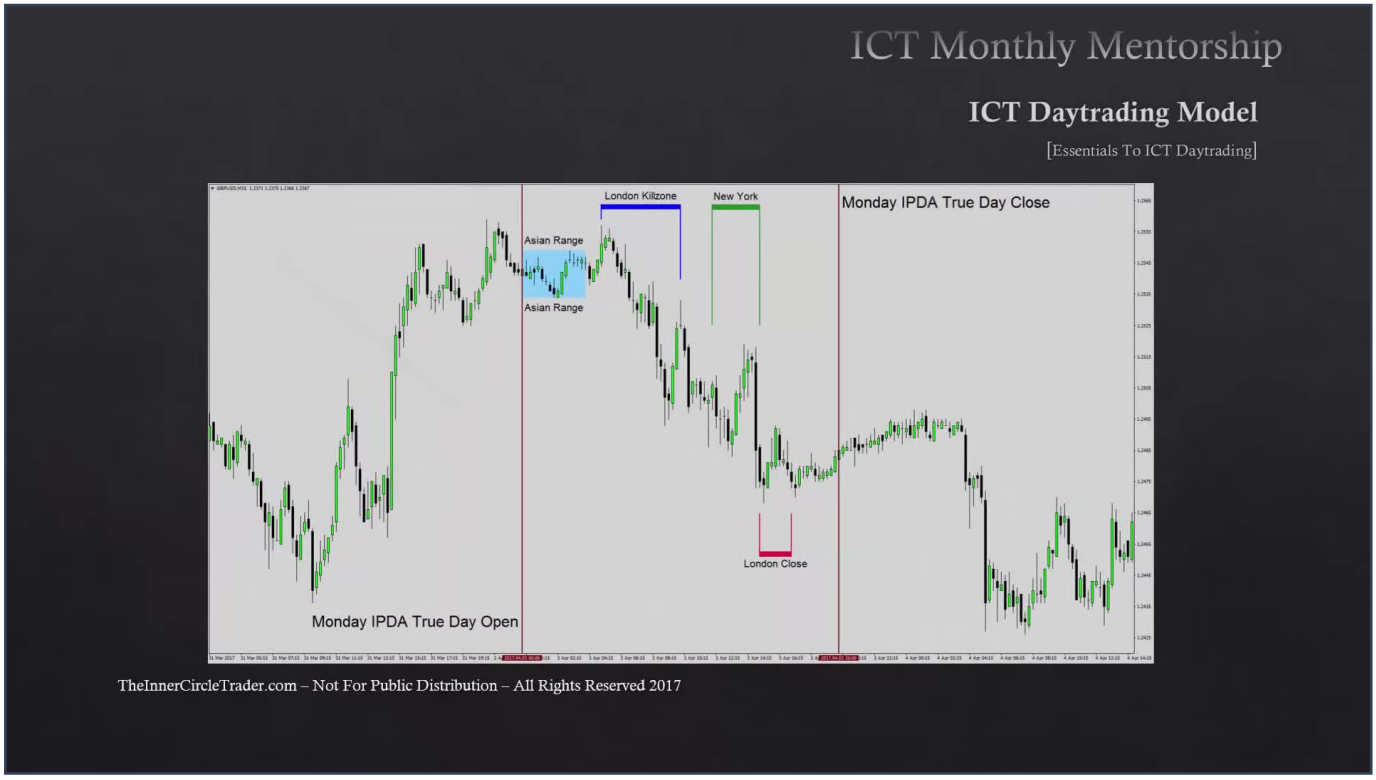


This section defines the IPTA True Day, representing the interbank 24-hour cycle:

- Every day at 12:00 AM (midnight) New York time, this begins the IPTA True Day. This marks the beginning of the 24-hour interbank trading day.

- Every day at 3:00 PM New York time, this ends the IPTA True Day, concluding the 24-hour interbank trading day.

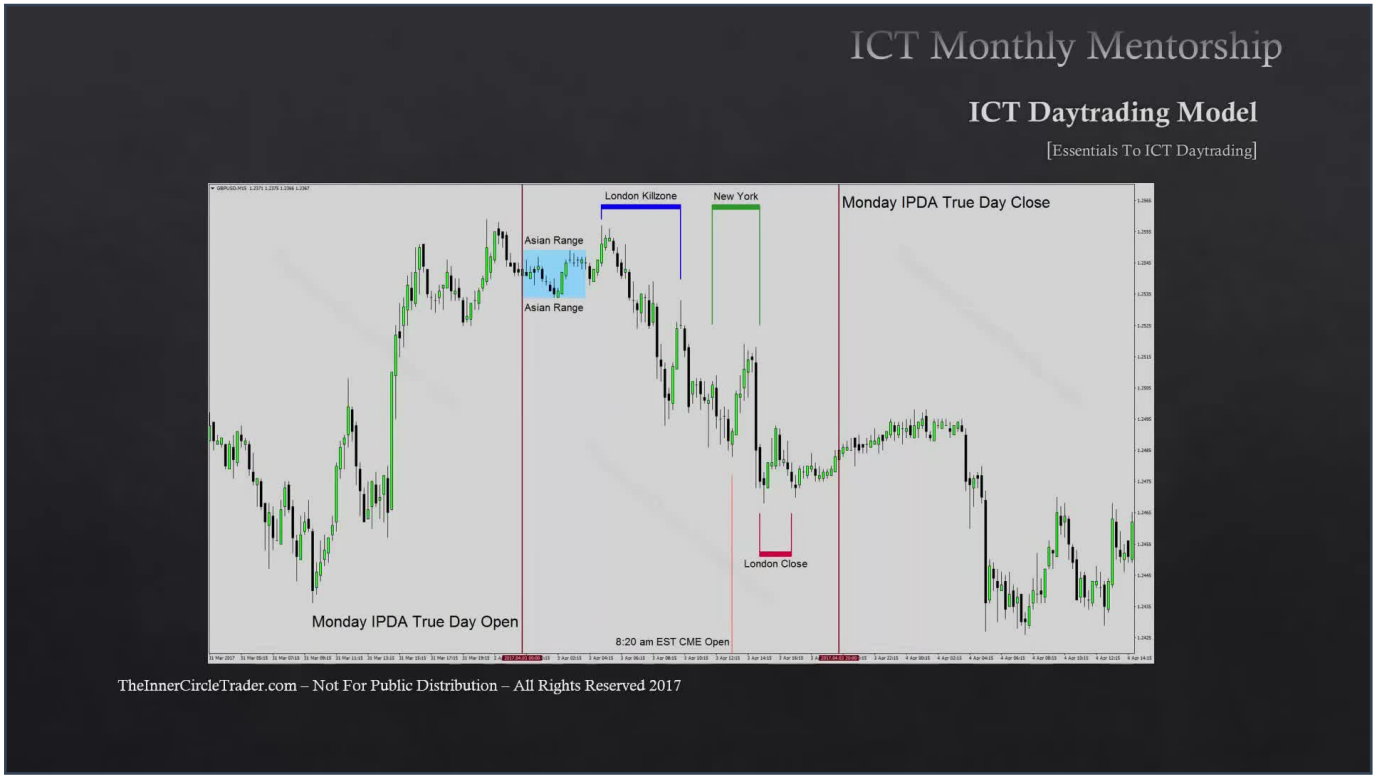
Specific details regarding this time range will be covered in April. For now, understand this as the definitive beginning and ending of an interbank 24-hour cycle.



Let's take a closer look at what has been outlined. We are looking at a true day example for Monday, April 3rd, 2017, with the IPTA true day open at midnight and close at 3:00 PM New York time.

There are very specific time elements being shown here, blending elements of IPTA data ranges and PD array Matrix, looking at institutional order flow, and now an element of time. It gets so precise it's hard to deny how anyone looking at this chart can see there's an algorithmic pattern related to time.

While we are not going into PD arrays and institutional reference points, focus on the time windows here. Look at the turning points, the daily high, the daily low, and the swing points throughout the rest of the day. There are logical reasons for why price goes to these levels and why they go specifically and precisely to one particular level or another.

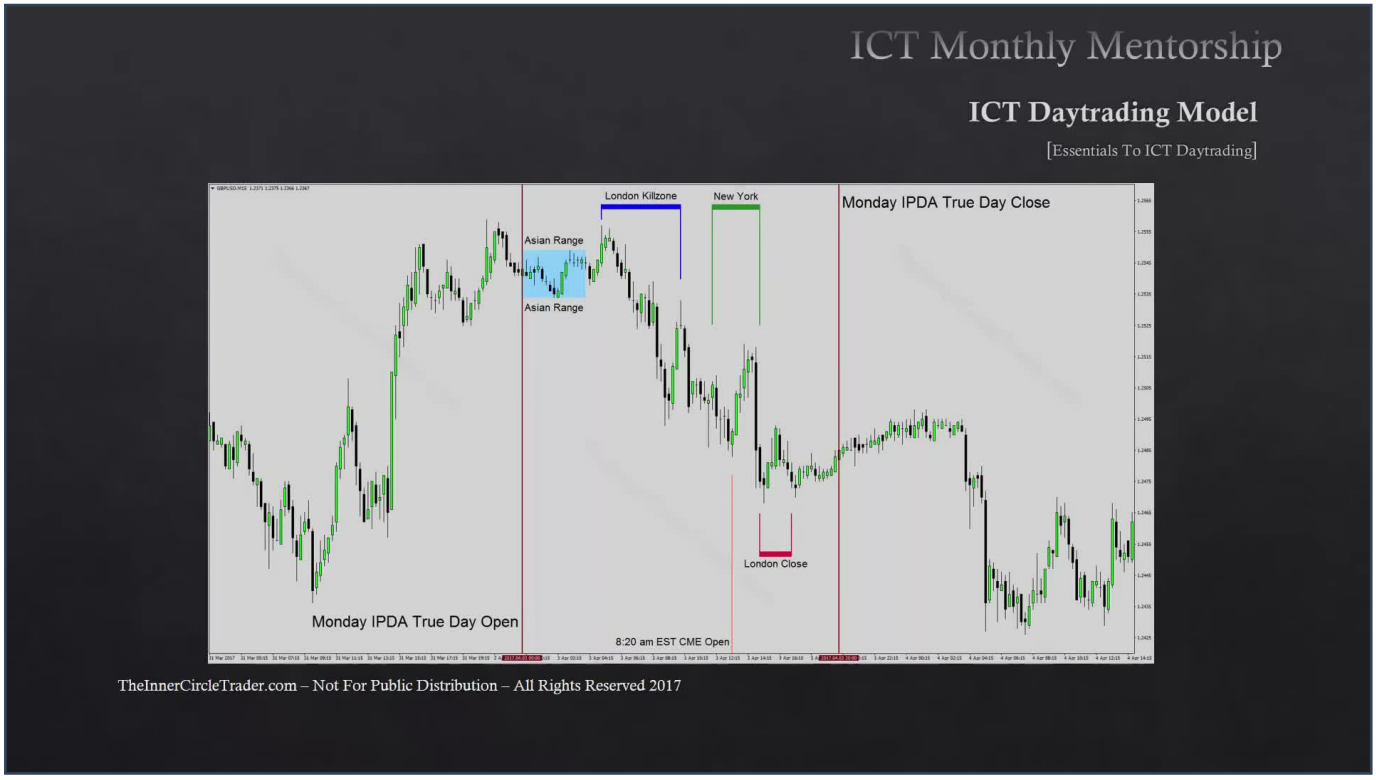


Important additional time points and market behaviors:

- 8:20 AM New York Time (CME Open): This is the CME open. If you imagine a line drawn straight up from this time, it often goes right to a short-term low, and price rallies away from it. This is not randomness. More will be taught about 8:20 AM CME open later that was not given in other teachings.

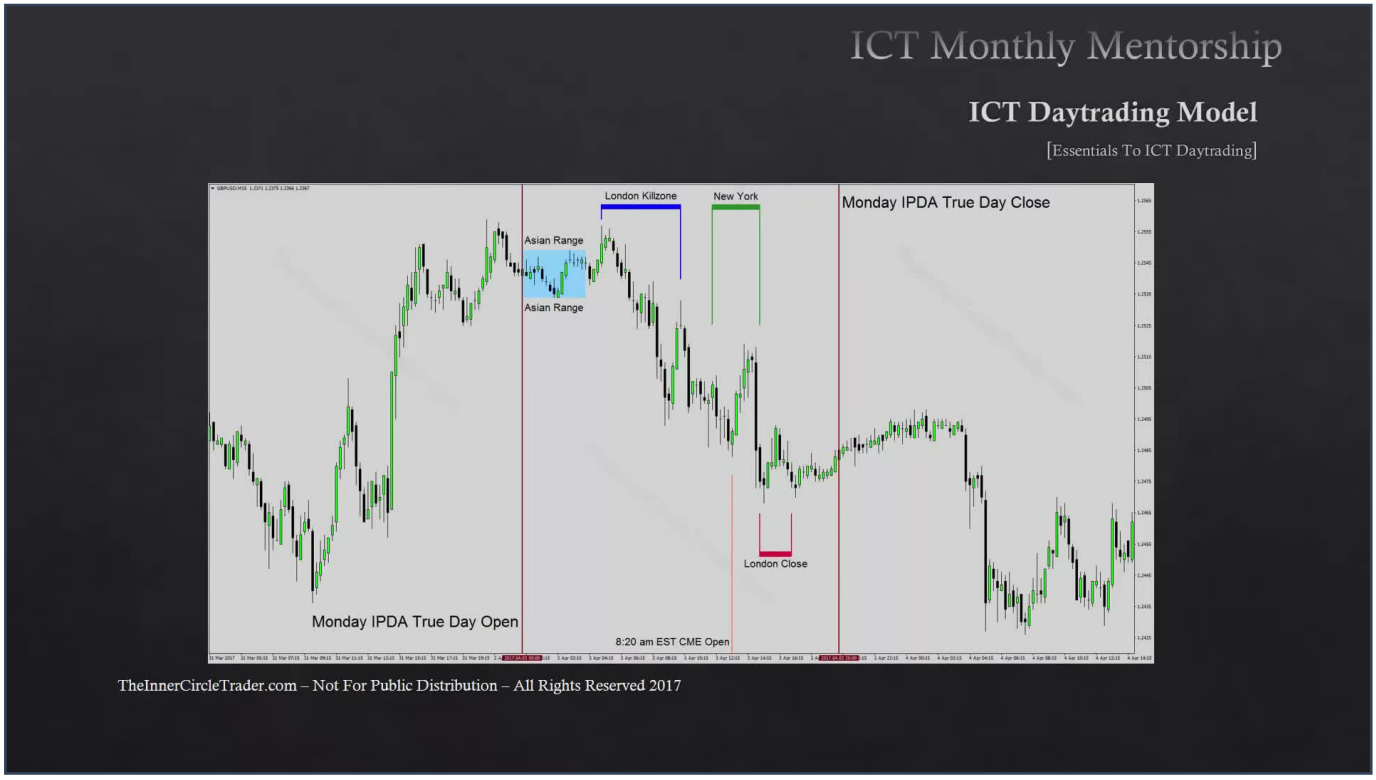
- London Lunch: The area between the London and New York Kill Zones is London lunch. This is generally when we are not looking for any major significant price moves. Usually, the market goes quiet or continues in the path it set for London open.

- Power of Three and London Kill Zone High: Framing the day like this, you can clearly see using Power of Three, an open at midnight, a small down move in the Asian range (which we would not be concerned with), and then an up move. The high of the day often forms right at the beginning of the ICT London Kill Zone, which begins at 1:00 AM New York time.



For those using free tutorials, they might be waiting for 2:00 AM, 3:00 AM, or 4:00 AM. However, the actual Kill Zone ICT uses for London open begins at 1:00 AM and ends at 5:00 AM. Notice how the high of the day often forms at 5:00 AM, precisely at the very end of the London Kill Zone.

Now, look at the New York session Kill Zone. A short-term high might be framed inside that New York Kill Zone, but observe the low that forms in the actual New York Kill Zone: it often forms at 8:20 AM, coinciding with the CME open. The CME open will be explained in more detail later, but for now, just keep that as a reference point on your own charts.



The high that forms in the New York session, a swing high, often trades down into the London Close. The London Close can then make the low of the day, leading to consolidation and trading off the low for a close. This close is what ICT refers to as the 'New York close', which is shorthand for the IPTA True Day close.

The IPTA True Day begins at midnight New York time and ends at 3:00 PM New York time. The 3:00 PM end time is significant because bonds close then, and the influence that interest rates have on the currency markets will have ended. The last hour, from 2:00 PM to 3:00 PM New York time, will always encapsulate any movement related to FOMC (interest rate announcements, FOMC minutes, etc.). Generally, the bulk of the move from these events has ended by 3:00 PM New York time.

This framework allows you to frame the entire daily range – open, high, low, and close – with clear delineations for each. Going forward in this month's lessons, we will know exactly what we are referring to in time and how to use these elements for precision in trading.